The US Committee on Foreign Affairs asked the CIA director William Casey whether press reports indicating the involvement of foreign powers and the role of the American spy agency in dividing India had any truth. The CIA believed that if Rajiv Gandhi continued to follow the policy of his late mother, Indira, Sikh unrest might create a problem for USA-India relations. The CIA also denied any role by Pakistan, claiming there were no terror camps for Sikh militants in the neighbouring country:

Despite the Indian charges, we do not believe the Pakistan government has provided training to Sikh militants—in part because Pakistan fears that New Delhi might retaliate militarily. Officials of the World Sikh Organisation (WSO) told US diplomats in Mumbai late last summer that even when representatives of their organisation asked Pakistan's President Zia-Ul-Haq for assurances of asylum, citizenship and property rights for Sikh refugees, he merely advised them to avoid antagonizing Hindus.

This report made it clear that the CIA's interest in the situation was much deeper than it appeared on the surface. Prime Minister Rajiv Gandhi tried not to blame the USA and Canada directly for sheltering hardcore militants, but other government functionaries on various occasions minced no words in indicting Washington for the trouble in Punjab. After Prime Minister Gandhi signed a peace accord with moderate leader Hare-hand Singh Longowal in July 1985, Minister of State for External Affairs Khurshid Alam Khan informed Parliament that Lal Singh, the most wanted militant, had been trained at a safe house in Alabama, USA. The CIA believed that allegations of a foreign hand in the Punjab trouble was merely a byproduct of the Soviet intelligence agency KGB's